

Pennsylvania Housing Market Divergence in 2026

Research Brief

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Abstract

Pennsylvania's housing market in 2026 resists statewide generalization. County-level data from multiple listing services, Zillow, Redfin, and the Pennsylvania Association of Realtors reveal a pronounced east–west divergence in inventory, marketing speed, and bargaining power. In western Pennsylvania, Allegheny County active listings rose 10.7% year-over-year through May 2026 while median days on market held near 49 days and sale-to-list ratios fell to 98.7%, signaling a shift toward balance. Eastern suburban markets in Montgomery and Bucks counties remain seller-competitive: median days on market near 21, more than half of homes selling above list, and sale-to-list ratios exceeding 101%. Philadelphia city occupies a third equilibrium—moderate appreciation with 49-day medians and permitting at its lowest level since 2013. This brief argues that the split reflects differentiated migration flows, remote-work suburbanization, and asymmetric construction pipelines rather than a single Commonwealth-wide demand cycle. Policy and practice implications include region-specific zoning reform, targeted affordability programs, and infrastructure investment calibrated to local supply elasticities.

Keywords: Pennsylvania housing market; regional divergence; inventory recovery; days on market; Philadelphia suburbs; Pittsburgh metro; zoning-induced housing shortage

1. Introduction

The landscape of Pennsylvania housing in the middle of 2026 resists easy generalization. While inventory growth in several western counties has begun to shift bargaining power toward buyers, eastern markets continue to display the constrained supply and sustained competition that have characterized much of the post-pandemic period. These patterns are not simply the product of short-term cyclical forces; they reflect longer-term demographic movements, employment geography, and the uneven pace of new residential construction across the Commonwealth.

Statewide aggregates obscure this heterogeneity. In April 2026, the Pennsylvania Association of Realtors reported a median home sales price of \$315,000—up 7.4% year-over-year—alongside closed sales that rose month-over-month but remained 8% below prior-year levels. Active listings exceeded 40,000 statewide, yet year-over-year inventory was still declining in aggregate. A buyer in Cranberry Township, Butler County, negotiating below list after seven weeks on market experiences a materially different market than a buyer in Doylestown, Bucks County, submitting an escalation clause within days of listing. Treating these experiences as equivalent because they share a state abbreviation misallocates both private capital and public intervention.

This brief examines Pennsylvania as a set of linked but distinct housing economies. The central thesis is that the Commonwealth in 2026 operates under *regional regimes*: a rebalancing western regime characterized by inventory recovery, lengthening days on market, and below-list sales; and an eastern suburban regime marked by persistent tightness, sub-30-day marketing times, and

recurrent multiple-offer episodes. Philadelphia city forms a third node—slower than its suburbs but constrained by a permitting collapse that limits supply response. The sections that follow situate these patterns in post-pandemic context, describe the evidentiary basis for county comparisons, and interpret western recovery and eastern tightness with attention to migration, remote work, and construction bottlenecks.

2. Background and Context

Pennsylvania entered the post-pandemic housing cycle with structural advantages and constraints that shaped divergent regional outcomes. Historically lower entry prices in many western counties, a stabilizing healthcare and education employment base in Pittsburgh, and comparatively greater land availability allowed some markets to absorb demand without sustained bidding wars. Eastern Pennsylvania faced stronger pre-existing demand pressure from the Northeast corridor, tighter suburban zoning envelopes, and higher dependence on commutable employment nodes in Philadelphia, New York, and New Jersey. Remote-work-enabled migration intensified demand in both east and west during 2020–2022, but eastern counties often combined in-migration with limited new supply, producing durable list-price appreciation and compressed days on market.

The Pew Charitable Trusts documents the supply side of this story with unusual clarity. From 2017 through 2023, Pennsylvania ranked 44th nationally in housing production: households grew 5.1% while housing stock grew only 3.4%. Bucks County permitted new units equal to just 2.4% of its 2017 housing stock over that period; rents rose 44%. Butler County, by contrast, permitted units equal to 8.4% of stock, and rents rose a comparatively modest 29%. Suburban zoning mandates—such as 80,000-square-foot minimum lots in Doylestown and 35,000-square-foot requirements in Lower Gwynedd—effectively cap missing-middle and townhome supply in precisely the counties where demand pressure is highest.

Population dynamics reinforce the east–west split. Center for Rural Pennsylvania analysis of Census data shows Pennsylvania gained 13,600 residents (+0.10%) between 2024 and 2025, with all net growth attributable to international migration (+26,900) offsetting continued domestic out-migration (-2,970). Philadelphia’s population remains 1.9% below its 2020 peak despite inbound search interest from New York and Los Angeles metros. Approximately 97,000 people moved from New York and New Jersey into northeastern Pennsylvania between 2017 and 2023, with Philadelphia suburbs gaining 2.5% population but under-building relative to inflow—a recipe for the suburban tightness documented below.

3. Data Sources and Methodology

This analysis employs a comparative county-level design, harmonizing publicly reported housing indicators from MLS aggregates (Pennsylvania Association of Realtors, Bucks County Association of Realtors), Redfin county market pages, Zillow Home Value Index series, Federal Housing Finance Agency all-transactions house price indexes via FRED, and Realtor.com inventory metrics via FRED for calendar 2025 through May–June 2026. Counties are grouped into western (Allegheny, Butler) and eastern (Montgomery, Bucks, Philadelphia) composites based on primary commute sheds and Census metropolitan delineations.

Core variables include active and total listing counts, median days on market, median sale and list prices, sale-to-list ratios, share of homes sold above list, building permit flows, and migration search data. Because vendor methodologies differ—MLS counts reflect agent-entered active listings, while Zillow models values from listings and public records, and Redfin reports closed-sale medians over

rolling three-month windows—the brief triangulates directional agreement across sources rather than treating any single platform as ground truth. Comparisons use analogous months year-over-year to limit seasonal distortion. Where county heterogeneity is high, the analysis reports ranges and flags data type (reported transaction data versus model-based estimates versus national forecasts). Limitations include thinner MLS coverage in rural counties, lagged revision in automated valuation datasets, and the absence of a single official statewide days-on-market series that disaggregates by region.

4. Analysis and Findings

4.1 Western Pennsylvania: Inventory Recovery

Western Pennsylvania markets entered mid-2026 with clear signs of rebalancing. In Allegheny County, total listings reached 4,947 in May 2026—a 10.7% year-over-year increase—while closed sales of 1,256 were essentially flat (-1.7% YoY). This supply-led divergence is the defining western dynamic: more choice without a commensurate demand surge. Median days on market held at 49 days, roughly double the 21-day medians observed in Montgomery and Bucks counties. Sale-to-list ratios fell to 98.7%, with only 31.8% of homes selling above list—metrics that would have been unthinkable in the 2021–2022 bidding-war era.

Median sale prices in Allegheny nonetheless rose 7.5% year-over-year to \$281,157 in May 2026, illustrating that limited supply still supports headline appreciation even as competition eases. The Federal Housing Finance Agency all-transactions index for Allegheny rose 3.2% from 2024 to 2025, confirming trend-level price growth on a repeat-transaction basis. Zillow’s Home Value Index for Pittsburgh city tells a more nuanced story: values of \$242,954 were down 0.6% year-over-year as of May 31, 2026, while median days to pending remained ultra-fast at eight days—suggesting a bifurcated urban market where desirable nodes move quickly even as aggregate values flatten.

Butler County exhibits upper-submarket cooling distinct from Allegheny’s pattern. Median sale prices fell 8.2% year-over-year to \$344,323 in May 2026, with days on market extending to 54 and sale-to-list ratios at 98.0%. Only 25.5% of Butler homes sold above list. The Cranberry and Mars corridors, which absorbed substantial remote-work in-migration during the pandemic, appear to be correcting after rapid appreciation—a cautionary signal for exurban nodes that scaled supply (Butler permitted 8.4% of 2017 stock from 2017–2023, highest in western Pennsylvania per Pew) but may have overshot on price.

In aggregate, western Pennsylvania behaves closer to a balanced market transitioning from seller advantage toward neutrality. Open-house traffic remains steady, but bidding wars are less routine than in 2021–2022, and well-prepared buyers can often retain financing and inspection contingencies. Realtor.com’s December 2025 national forecast projected +8.9% inventory growth and a buyer-tilted national balance in 2026; western Pennsylvania appears ahead of that transition.

4.2 Eastern Pennsylvania: Persistent Tightness

Eastern suburban Pennsylvania presents a contrasting regime. Montgomery County recorded a median sale price of \$484,547 in May 2026—nearly flat at +0.4% year-over-year—yet median days on market stood at just 21 days, sale-to-list ratios reached 101.9%, and 51.3% of homes sold above list. Bucks County was firmer on price (+7.5% YoY to \$538,385) with identical speed metrics: 21-day medians, 101.2% sale-to-list, and 51.8% above-list sales. These are textbook seller-competitive conditions.

Inventory gains in the east are modest and insufficient to absorb demand. Bucks active listings rose 11.5% year-over-year to 814 in May 2026—a welcome directional signal—but Realtor.com median days on market for listings in Bucks (26 days) and Montgomery (29 days) remain far below western benchmarks. Montgomery’s active listing count of 1,133 and Philadelphia’s Zillow-reported inventory of 5,520 units sound substantial in absolute terms but are thin relative to household formation, cross-border commuting demand, and the 97,000-person inflow from New York and New Jersey documented by Pew for the 2017–2023 period.

Philadelphia city occupies a third equilibrium. Median sale prices rose 3.5% year-over-year to \$289,827 in May 2026, with 49-day medians and a Redfin Compete Score of 54 (“Somewhat Competitive”). Sale-to-list ratios of 98.0% suggest more negotiation room than in the suburbs, yet Pew reports only 2,962 new housing permits in 2024—the lowest since 2013—even as home sales rose 17% year-over-year to 18,338. The Philadelphia-Camden-Wilmington MSA issued roughly 1,100–1,500 private housing permits per month in early 2026, inadequate to ease suburban pressure given zoning constraints on duplexes, townhomes, and accessory dwelling units across Montgomery and Bucks townships.

Remote work reinforces eastern suburban dominance. A Pennsylvania Association of Realtors survey citing Howdy.com found that 20% of fully remote U.S. workers planned relocation in 2025, with 49% targeting suburbs, 37% citing cost of living, and 29% seeking to buy a home. Return-to-office uncertainty complicates the picture: 12% of remote workers delayed purchase plans, and 22% felt compelled to remain within commuting distance—patterns consistent with Philadelphia’s middling days on market relative to its ultra-fast suburbs.

4.3 Commonwealth-Wide Context

Statewide, Pennsylvania’s median home sales price of \$315,000 in April 2026 (+7.4% YoY) and closed sales volume down 8% year-over-year suggest a market cooling on the demand side while prices remain supported by structural undersupply. The National Association of Realtors frames Pittsburgh as among the most affordable major metros for ownership—a western advantage that eastern buyers cannot access without regional relocation. The dual-speed economy is the operative concept: western markets normalize toward buyer negotiation; eastern suburbs lag, still posting majority above-list sales.

5. Discussion

The east–west divergence documented here complicates one-size-fits-all narratives about Pennsylvania affordability and market cooling. Interest rates and national macro conditions matter—Realtor.com projected +2.2% national price growth in 2026—but local supply elasticities and employment linkages determine whether moderating demand translates into inventory relief. Western Pennsylvania’s inventory recovery and longer days on market suggest that moderate rate declines could further normalize conditions without reigniting sharp appreciation, especially where new construction responds to price signals, as Butler County’s permit history demonstrates.

Eastern Pennsylvania’s sub-30-day suburban medians and majority above-list sales indicate that modest demand shocks can outrun listing flow, sustaining pressure on entry-level buyers and renters attempting to purchase. First-time and moderate-income households in Montgomery and Bucks face higher upfront competition costs: larger earnest money deposits, appraisal gap risk, and lost opportunities when financing contingencies are viewed unfavorably. Western buyers benefit from

expanded search windows and negotiation leverage, though rural counties may lack equivalent job density and transit access.

These patterns carry direct policy implications. Eastern counties need accelerated permitting, inclusionary zoning tools, and missing-middle housing legalization—Pew’s documentation of large-lot mandates in Doylestown and Lower Gwynedd identifies concrete reform targets. Western counties need demand stabilization awareness and infrastructure planning in high-growth corridors where Butler’s price correction may signal overshoot. With Pennsylvania’s population growth now dependent on international in-migration, housing supply that tracks metro-level flows rather than statewide averages is essential. A projected 54% decline in national international migration between 2024 and 2025, noted by the Center for Rural Pennsylvania, adds urgency to domestic supply-side reform.

6. Conclusion

Pennsylvania’s 2026 housing market is bifurcated, not unified. Western counties—especially Allegheny and Butler—show inventory recovery, days on market near or above 45–54 days, and sale-to-list ratios below 100%. Eastern suburbs in Montgomery and Bucks remain persistently tight, with 21-day medians, majority above-list sales, and sale-to-list ratios exceeding 101%. Philadelphia city sits between these regimes: moderate appreciation, slower turnover than its suburbs, and permitting at multi-decade lows that forestall supply response. Recognizing western rebalancing alongside eastern scarcity is essential for accurate market analysis, equitable housing policy, and informed buyer and seller strategy across the Commonwealth. Regional interventions—not statewide averages—should guide the next phase of Pennsylvania housing policy.

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Declaration of Interests

The author declares no competing interests.

Data Availability

County-level housing indicators cited in this brief are drawn from publicly accessible sources: Redfin county market pages, Zillow Home Value Index, FRED (Federal Reserve Bank of St. Louis), Pennsylvania Association of Realtors housing reports, and Pew Charitable Trusts publications. URLs are listed in the References. No proprietary datasets were used.

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Appendices

The following tables supplement the county-level analysis in Section 4. All figures reflect publicly reported vendor data as of May-June 2026 unless otherwise noted.

Appendix A: Selected County Indicators

Table A.1 compares closed-sale medians and competition metrics for five benchmark counties, organized by region to highlight the east-west divergence in marketing speed and bargaining power.

Western Pennsylvania

County	Median Sale Price	YoY Change	Median DOM	Sale-to-List	Above List
Allegheny	\$281,157	+7.5%	49	98.7%	31.8%
Butler	\$344,323	-8.2%	54	98.0%	25.5%

Eastern Pennsylvania

Table 1: Table A.1. Selected county housing indicators, May 2026. *DOM* = days on market. *Above List* = share of closed sales above list price.

County	Median Sale Price	YoY Change	Median DOM	Sale-to-List	Above List
Montgomery	\$484,547	+0.4%	21	101.9%	51.3%
Bucks	\$538,385	+7.5%	21	101.2%	51.8%
Philadelphia	\$289,827	+3.5%	49	98.0%	N/A

Source: Redfin county market pages, May 2026 three-month rolling window.

Appendix B: Data Reliability Notes

Table B.1 documents the principal strengths and limitations of each data source cited in this brief. Triangulation across sources is recommended where methodologies diverge.

Table 2: Table B.1. Data reliability assessment by source. *PAR* = Pennsylvania Association of Realtors. *RPR* = Realtors Property Resource. *ZHVI* = Zillow Home Value Index. *HPI* = House Price Index.

Source	Assessment
Redfin (May 2026)	Strengths: Timely closed-sale medians; sale-to-list and above-list competition metrics by county. Limitations: Three-month rolling window; methodology differs from FHFA repeat-sales and Zillow model-based indexes.
FHFA HPI (2025 annual)	Strengths: Repeat-transaction rigor; suitable for trend-level price analysis. Limitations: Annual frequency only; some county indexes marked developmental by FHFA.

Source	Assessment
Zillow ZHVI (May 2026)	Strengths: Broad geographic coverage including off-market estimates. Limitations: Model-based valuations can diverge from MLS median sale prices.
PAR / RPR (April 2026)	Strengths: Official Pennsylvania Realtor MLS statewide aggregate. Limitations: Statewide scope masks county-level divergence documented in this brief.
Pew (2024-2025)	Strengths: Policy-grade analysis of permitting, zoning, and affordability. Limitations: County building-permit data through 2023; Philadelphia permit figures through 2024.
Realtor.com 2026 Forecast	Strengths: Useful national baseline for inventory and price projections. Limitations: Forecast is projected, not observed; requires local calibration for Pennsylvania metros.

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